Internet Appendix to "The Price of Political Partisanship"

In the Internet Appendix, I provide additional evidence for the findings in the main body. In particular, Section I provides statistics on the persistence in a firm's political stance over time. Section II addresses the observed non-monotonicity in the baseline portfolio sorts. In Section III, I evaluate the sensitivity of the baseline results on the partisanship premium to alternative measurement choices. Then, I explore whether the partisanship premium persists after accounting for various firm characteristics in Section IV. In Section V, I conduct supplementary analysis regarding the timing of partisanship changes. I provide summary statistics on the data used for the demand-system estimation as well as statistics on the estimated political leaning of institutional investors in Section VI. Lastly, in Section VII, I provide a colophon of all packages I use for the analysis code of this project.

I. Persistence in Political Leaning

Table IA-1 shows the transition matrix for the observed political stance of a firm based on political contributions of its CEOs. It provides the probabilities of a firm having an overhang in donations towards the Democratic or Republican party, and not making any contributions, conditional on the currently observed stance based on various accumulation windows. Each month, I sort the firms into three buckets based on the Net Rep. Share (Democratic if Net Rep. Share < 0, Neutral if Net Rep. Share $= 0$, and Republican if Net Rep. Share > 0), respectively, for periods of 1, 2, and 4 years. Then, for each bucket, I compute the probabilities of ending up in each of those buckets in the subsequent 1, 2, and 4 years. Overall, it can be seen that Republican-leaning firms have a high chance of continuing to show this stance in the long-term, with a probability of 76% averaged over the subsequent 4-year combinations. Neutral firms tend to remain neutral with an average probability of 80% 1 year ahead. This, however, drops to an average of 49% over the 4-year period. In contrast to Republican and Neutral firms, Democratic-leaning firms largely have higher probabilities of switching their political stance, irrespective of the investigated period.

Table IA-1: Transition Probabilities of Political Leaning

This table shows the probabilities of a firm showing a certain party leaning in its CEOs future political donations (in the subsequent 1, 2, or 4 years) after respectively observing a specific leaning in historical donations (in the past 1, 2, or 4 years). Dem. defines the state when a firm's CEO made more contributions towards Democratic candidates or affiliated PACs in the given time period. Rep. defines the state when a firm's CEO made more contributions towards Republican candidates or affiliated PACs in the given time period. Neut. defines the state when a firm's CEO has not made any political contributions in the given time period.

	Dem.$_{[t:t+1)}$	Neut.$_{[t:t+1)}$	Rep.$_{[t:t+1)}$	Dem.$_{[t:t+2)}$	Neut.$_{[t:t+2)}$	Rep.$_{[t:t+2)}$	Dem.$_{[t:t+4)}$	Neut.$_{[t:t+4)}$	Rep.$_{[t:t+4)}$
Dem.$_{[t-1:t)}$	0.47	0.20	0.33	0.50	0.11	0.39	0.48	0.06	0.45
Neut.$_{[t-1:t)}$	0.08	0.77	0.16	0.12	0.63	0.25	0.17	0.45	0.37
Rep.$_{[t-1:t)}$	0.14	0.18	0.67	0.15	0.11	0.75	0.14	0.06	0.80
Dem.$_{[t-2:t)}$	0.44	0.26	0.30	0.48	0.16	0.36	0.48	0.09	0.43
Neut.$_{[t-2:t)}$	0.06	0.81	0.12	0.11	0.68	0.21	0.16	0.50	0.34
Rep.$_{[t-2:t)}$	0.14	0.24	0.62	0.15	0.15	0.71	0.14	0.09	0.77
Dem.$_{[t-4:t)}$	0.40	0.33	0.28	0.45	0.22	0.34	0.46	0.13	0.40
Neut.$_{[t-4:t)}$	0.06	0.83	0.11	0.10	0.71	0.19	0.16	0.52	0.32
Rep.$_{[t-4:t)}$	0.14	0.29	0.57	0.14	0.20	0.66	0.15	0.12	0.73

II. Non-Monotonicity

As discussed in Section 3.3, the portfolio sorts based on the level of political partisanship exhibit a non-monotonic pattern in both returns and alphas. Specifically, the intermediate (low partisan) portfolio shows lower average performance than both the neutral and highly partisan portfolios. This counterintuitive pattern stems largely from an unintended size effect. Firms with moderate levels of partisanship tend to be larger, on average, than firms in the neutral or highly partisan buckets. Since large-cap firms are known to display lower average returns, this inadvertently distorts the raw return patterns and may mask the true pricing effect of partisanship.

To validate this explanation and disentangle size-related distortions, Table IA-2 presents conditional double sorts, first by firm size (market capitalization terciles) and then by political partisanship within each size group. The results show that the previously observed non-monotonicity disappears once firm size is accounted for. In particular, the negative return differential between partisan and neutral firms becomes consistently monotonic across all size groups, with higher partisanship associated with lower average returns and more negative alphas. This confirms that the earlier non-monotonic pattern is driven by a size imbalance across partisanship levels rather than an inherent irregularity in the pricing of partisanship itself.

As a complementary approach, Table IA-3 reports Fama-MacBeth regressions in which the political partisanship variable is replaced with a categorical variable representing three distinct groups: neutral firms, low-partisan firms ($0 <$ Partisanship $\leq 2/3$), and high-partisan firms ($2/3 <$ Partisanship). The neutral group serves as the reference category. The results show that both low- and high-partisan firms underperform neutral firms, with statistically significant negative coefficients for both dummy variables. However, more importantly, unreported results also show that coefficient on the high-partisan dummy is significantly lower than the low-partisan dummy.

Table IA-2: Bivariate Portfolio Sorting on Size

This table presents the average monthly excess returns for three × three portfolios dependently sorted on market capitalization and then on firms' level of partisanship. The sorting on market capitalization is reported across rows S, M, and L, containing small, medium-sized, and large firms, respectively. The last row represents the average value per column across the size groups. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R_f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
S	2.32***	1.80***	1.78***	-0.54***	1.57***	1.01***	0.96***	-0.61***
	(6.22)	(4.81)	(4.82)	(-4.75)	(9.45)	(6.79)	(6.27)	(-5.59)
M	1.08***	1.01***	0.95***	-0.13	0.29***	0.14**	0.10	-0.19**
	(3.62)	(3.99)	(3.67)	(-1.28)	(3.06)	(2.37)	(1.64)	(-2.25)
L	0.99***	0.81***	0.76***	-0.23**	0.34***	0.07	0.02	-0.33***
	(3.33)	(3.60)	(3.23)	(-1.98)	(4.30)	(1.44)	(0.37)	(-3.85)
∅	1.46***	1.21***	1.16***	-0.30***	0.74***	0.41***	0.36***	-0.38***
	(4.79)	(4.42)	(4.23)	(-3.34)	(8.57)	(6.48)	(5.23)	(-5.60)

Table IA-3: Fama-MacBeth Regression with Partisanship Level Dummies
This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. Instead of the continuous partisanship measure of Table 5, I include two dummy variables indicating the magnitude of partisanship. The first dummy variable is 1 if a firm's political partisanship is greater than 0 and less than or equal to 2/3, 0 otherwise. The second dummy variable is 1 if a firm's political partisanship is greater than 2/3, 0 otherwise. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. The firm characteristics are standardized. I include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

$\mathbb{1}(0 < \text{Partisanship} \leq 2/3)$	-0.13**
	(-2.38)
$\mathbb{1}(\text{Partisanship} > 2/3)$	-0.21***
	(-3.48)
Log ME	-0.39***
	(-5.83)
Log B/M	0.03
	(0.37)
Profitability	-0.06
	(-1.06)
Leverage	-0.02
	(-0.35)
Tangibility	-0.02
	(-0.60)
Earnings Growth	0.10
	(1.67)
MOM	0.13**
	(0.90)
β_{MKT}	-0.02
	(-0.18)
IVOL	0.09
	(0.91)
Industry FE	Yes
Observations	607,639
R^2	0.27

III. Measurement Robustness

To ensure that the observed partisanship premium is not driven by specific portfolio construction choices or by the definition and aggregation of the partisanship measure, this subsection presents several robustness checks. Particularly, these tests examine whether the baseline results hold when (1) alternative portfolio sorting schemes are used, (2) portfolio returns are computed differently, (3) the definition of political partisanship is modified, and (4) the aggregation window for the political leaning variable is varied.

Table IA-4 shows the results of portfolio sorts with an increased lag in the assumed availability of the partisanship measure. Whereas the baseline specification in Table 2 uses firms' partisanship at the beginning of the month the return is computed over, in Table IA-4, I use the available partisanship with a six-month lag. The results do not significantly deviate from the baseline setting.

Table IA-4: Lagged Portfolio Sorting

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship with a six-month lag. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	L	M	H	H-L
E[R]-R_f (%)	1.56***	1.13***	1.15***	-0.41***
	(4.85)	(4.29)	(4.16)	(-4.58)
α_{FF6}	0.83***	0.32***	0.33***	-0.50***
	(8.23)	(5.91)	(4.81)	(-6.26)

Table IA-5 presents results from an alternative portfolio sort, where firms are assigned to tercile portfolios based on their political partisanship. This contrasts with the baseline specification in Table 2, which groups firms into a neutral group and then splits partisan firms at the median of nonzero values. While the sorting methodology differs, the findings are qualitatively unchanged. Firms with stronger political leanings continue to underperform firms with low observed partisanship in terms of both excess returns and FF6 alphas.

Table IA-5: Tercile Portfolio Sorting

This table presents the average monthly excess returns for three portfolios. The portfolios are constructed by splitting all firms into terciles based on political partisanship. Compared to Table 2, politically neutral firms are not separated before the sorting. L are low partisanship firms (including politically neutral firms), H are high partisanship firms, and H-L is the high-minus-low portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	L	M	H	H-L
E[R]-R_f (%)	1.44***	1.14***	1.16***	-0.28***
	(4.91)	(4.17)	(4.24)	(-3.94)
α_{FF6}	0.71***	0.32***	0.36***	-0.35***
	(7.81)	(5.13)	(5.10)	(-5.71)

Table IA-6 presents a robustness test aimed at ensuring that the observed return differentials across partisanship portfolios is not driven by specific return computation methods. I report results based on value-weighted portfolio returns, addressing concerns that equal-weighted returns in the baseline specification may overweight small firms. The negative return spread between highly partisan and neutral firms remains economically meaningful and statistically significant.

Table IA-6: Value-Weighted Returns

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the excess return value-weighted by firms' market capitalization and corresponding FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_f(%)	0.92***	0.69***	0.68***	-0.24**
	(3.17)	(3.03)	(2.86)	(-2.04)
α_{FF6}	0.22***	0.02	-0.01	-0.23**
	(2.62)	(0.67)	(-0.28)	(-2.16)

With a similar argumentation for checking the robustness of my results of the portfolio sorts by using value-weighted returns in Table IA-6, I also have to check the robustness of the results from the Fama-MacBeth regressions. I have to ensure that the results are not driven by small, illiquid stocks (see Hou et al. (2020)). Therefore, I estimate a weighted least squares Fama-MacBeth regression with the market equity as the weights, where monthly excess returns are regressed on the political partisanship measure along with standard controls. Table IA-7 shows the results of this regression. Even though the t-statistic of the coefficient on the partisanship measure gets reduced when using weighted least squares compared to using ordinary least squares in Table 5, the economic magnitude of the coefficient remains stable.

Table IA-8 evaluates robustness to alternative definitions of the perceived political partisanship. First, I construct a measure based on net Republican contributions of the CEO in dollars rather than the net Republican share in the historical donations. Results based on this partisanship measure are shown in Panel A. Second, I proxy partisanship based on PAC contributions in Panel B. Across all these variations, I continue to observe negative return differentials for partisan firms relative to neutral firms.

Table IA-9 tests the sensitivity of results to the temporal aggregation of donation data when constructing the political leaning measure. I re-estimate the partisanship using rolling aggregation windows of 4 years (Panel A), 2 years (Panel B), and 1 year (Panel C). Then, I replicate the baseline sort using those alternative measures. The pricing effect remains stable across these variations. Stronger partisanship consistently predicts lower future returns.

Table IA-7: Fama-MacBeth Regression with Weighted-Least Squares

This table shows the results from weighted least squares Fama-MacBeth regressions with the market equity as the weights, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. The firm characteristics are standardized. I include industry fixed effects based on 2-digit SIC codes. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.17*
	(-1.68)
Log ME	-0.39
	(-1.04)
Log B/M	0.03
	(0.33)
Profitability	-0.06**
	(2.05)
Leverage	-0.02
	(-1.37)
Tangibility	-0.03
	(-0.05)
Earnings Growth	0.10
	(0.39)
MOM	0.13
	(0.70)
β_{MKT}	-0.02
	(0.35)
IVOL	0.09
	(-0.55)
Industry FE	Yes
Observations	607,639
R^2	0.27

Table IA-8: Alternative Partisanship Measures

This table presents the average monthly excess returns for three portfolios constructed based on different measures of firms' perceived political partisanship. Panel A uses the net Republican dollar donations over a four-year rolling window to define partisanship. Panel B uses the historical net Republican share in firm-level PAC contributions to define partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: CEO Net Donations				
E[R]-R_f(%)	1.48***	1.20***	1.11***	-0.37***
	(4.88)	(4.45)	(4.12)	(-4.32)
α_{FF6}	0.72***	0.43***	0.28***	-0.44***
	(7.59)	(6.41)	(5.02)	(-6.35)
Panel B: PAC Partisanship				
E[R]-R_f(%)	1.39***	0.96***	0.93***	-0.46***
	(4.66)	(3.93)	(3.61)	(-3.51)
α_{FF6}	0.62***	0.19***	0.02	-0.60***
	(6.98)	(3.29)	(0.29)	(-5.61)

Table IA-9: Dynamic Partisanship Measure

This table presents the average monthly excess returns for three portfolios constructed based on different versions of the baseline measure of firms' perceived political partisanship as defined in Section 3.1. Panel A uses a four-year rolling window to aggregate the net Republican share, Panel B uses a two-year rolling window to aggregate the net Republican share, and Panel C uses a one-year rolling window to aggregate the net Republican share. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: 4-Year Rolling Window				
E[R]-R_f (%)	1.48***	1.14***	1.17***	-0.31***
	(4.88)	(4.42)	(4.18)	(-4.38)
α_{FF6}	0.72***	0.34***	0.37***	-0.35***
	(7.59)	(5.84)	(5.33)	(-5.65)
Panel B: 2-Year Rolling Window				
E[R]-R_f (%)	1.42***	1.15***	1.14***	-0.29***
	(4.79)	(4.45)	(4.10)	(-4.36)
α_{FF6}	0.66***	0.35***	0.33***	-0.33***
	(7.29)	(6.71)	(4.79)	(-6.21)
Panel C: 1-Year Rolling Window				
E[R]-R_f (%)	1.37***	1.16***	1.14***	-0.23***
	(4.65)	(4.47)	(4.20)	(-3.17)
α_{FF6}	0.60***	0.36***	0.33***	-0.27***
	(7.00)	(6.46)	(4.76)	(-4.76)

IV. Confounding Characteristics

In this section, I assess whether the partisanship premium can be explained by conventional firm-level characteristics commonly associated with asset pricing anomalies. While the main body of the paper already demonstrates that the effect of political partisanship is robust to controls for firm size and other observables in Fama-MacBeth regressions (see Table 5), and also holds in size-conditioned portfolio sorts (see Table IA-2), it remains important to directly investigate whether the return differential between partisan and neutral firms persists within finer partitions of the cross-section sorted by other firm fundamentals.

Table IA-10 reports results from a series of double-sorts in which firms are first sorted into terciles based on a given firm characteristic and then further sorted into three portfolios based on politcal partisanship within each characteristic group. This procedure is repeated across several characteristics: book-to-market ratio (Panel A), momentum (Panel B), profitability (Panel C), and idiosyncratic volatility (Panel D). The objective is to test whether the partisanship return differential survives within portfolios of firms that are otherwise similar along these dimensions.

Across all firm characteristics, I find that the return differential between the most partisan and neutral firms remains statistically significant within all terciles. This reaffirms the interpretation that the partisanship premium is distinct from known cross-sectional return patterns.

Lastly, I provide an adaptation of the portfolio sort using a return construction that controls for exposures to firm-level characteristics. That is, I use returns in excess of characteristic-based benchmarks following Daniel et al. (1997), which control for expected return differences due to size, book-to-market ratio, and momentum, rather than just computing returns in excess of the risk-free rate in the baseline setting.[1] Table IA-11 shows the results.

[1] To compute the benchmark-adjusted returns for each stock, I form five $\times$ five $\times$ five portfolios based on size, book-to-market ratio, and momentum. At the beginning of each month, I sort firms into quintile portfolios by market capitalization. Then, the firms in each size group are further sortet into quintile portfolios by book-to-market ratio. Lastly, firms in each of the 25 size and book-to-market portfolios are sorted into quintiles based on previous 12-month returns. For all 125 portfolios, I calculate value-weighted returns. Finally, each stock is assigned to one of those portfolios of which return is then used as the respective benchmark.

Table IA-10: Bivariate Portfolio Sorting

This table presents the average monthly excess returns for three × three portfolios dependently sorted on a selection of firm characteristics and then on firms' level of partisanship. The rows represent the sorting on the respective firm characteristics with L being the bottom tercile, M being middle tercile, and H being the top tercile. In Panel A, firms are first sorted by book-to-market ratio. In Panel B, firms are first sorted by momentum. In Panel C, firms are first sorted by profitability. In Panel D, firms are first sorted by idiosyncratic volatility. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R_f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
Panel A: B/M								
L	1.62***	1.05***	1.09***	-0.53***	0.88***	0.26***	0.34***	-0.53***
	(4.54)	(4.23)	(3.91)	(-4.73)	(8.35)	(5.00)	(4.61)	(-5.81)
M	1.27***	0.97***	1.01***	-0.26***	0.48***	0.13**	0.15**	-0.33***
	(4.32)	(4.31)	(3.90)	(-3.05)	(4.24)	(2.14)	(2.10)	(-3.68)
H	1.81***	1.34***	1.33***	-0.48***	1.11***	0.57***	0.54***	-0.57***
	(4.33)	(3.91)	(3.66)	(-3.54)	(5.20)	(5.54)	(4.03)	(-3.56)
Panel B: MOM								
L	1.47***	1.19***	1.17***	-0.31***	0.97***	0.58***	0.55***	-0.43***
	(3.59)	(3.16)	(3.04)	(-3.05)	(5.54)	(5.08)	(3.91)	(-3.79)
M	1.30***	0.98***	0.98***	-0.32***	0.53***	0.17***	0.17***	-0.36***
	(4.89)	(4.30)	(4.21)	(-4.21)	(7.02)	(3.08)	(3.80)	(-4.21)
H	1.87***	1.23***	1.32***	-0.55***	0.91***	0.28***	0.33***	-0.58***
	(5.49)	(4.96)	(4.81)	(-4.81)	(7.92)	(4.26)	(4.57)	(-6.08)
Panel C: Profitability								
L	1.99***	1.26***	1.25***	-0.74***	1.42***	0.59***	0.58***	-0.84***
	(4.99)	(3.95)	(3.79)	(-5.04)	(8.10)	(5.64)	(6.12)	(-6.80)
M	1.33***	1.06***	1.14***	-0.20**	0.53***	0.19***	0.25***	-0.27***
	(4.62)	(4.14)	(4.10)	(-2.36)	(6.91)	(3.26)	(3.27)	(-3.68)
H	1.51***	1.07***	1.10***	-0.41***	0.65***	0.22***	0.24***	-0.40***
	(5.25)	(4.72)	(4.56)	(-4.40)	(5.77)	(3.59)	(2.91)	(-4.58)
Panel D: IVOL								
L	1.02***	0.82***	0.87***	-0.15***	0.28***	0.05	0.08	-0.20***
	(4.69)	(4.14)	(4.31)	(-2.60)	(3.25)	(0.74)	(1.34)	(-3.08)
M	1.34***	1.06***	1.04***	-0.30***	0.52***	0.21***	0.18***	-0.34***
	(4.77)	(4.07)	(4.14)	(-4.00)	(6.45)	(3.89)	(3.11)	(-4.01)
H	2.14***	1.60***	1.56***	-0.59***	1.47***	0.82***	0.83***	-0.64***
	(4.62)	(3.89)	(3.68)	(-3.97)	(6.96)	(4.87)	(4.40)	(-4.51)

Table IA-11: Characteristic-based Benchmark Returns
This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the equally-weighted average return in excess of characteristic-based benchmarks following Daniel et al. (1997) and corresponding FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_{BM}(%)	0.74***	0.32***	0.34***	-0.40***
	(9.78)	(6.66)	(5.65)	(-6.64)
α_{FF6}	0.72***	0.24***	0.27***	-0.45***
	(10.39)	(8.24)	(5.61)	(-7.29)

V. Additional Empirical Results

Table IA-12 provides the results of a panel regression, where I regress monthly returns on a dummy variable indicating the period after the initial deviation from neutrality following the DID logic. I include various control variables, as well as firm, industry, and month fixed effects. Notably, as this regression includes firm fixed effects, it makes use of the shift in partisanship within an individual firm, thus providing additional support for a causal channel.

Some previous works investigating the political activities of firms and their executives used static measures based on political contributions that were aggregated over the full sample period. Disregarding the variation over time, whether due to genuine ideological change or strategic considerations, and ignoring the forward-looking bias, this supposedly provides a clearer measure of true ideological leaning. Therefore, I redo the portfolios sort using the partisanship measure for each firm aggregated over the full sample period. Table IA-13 shows that the main results are mostly robust to this change. The magnitude of the average returns of the partisanship portfolios is slightly higher, and consequently, the high-minus-neutral return is slightly reduced. This is expected, considering that the results of Section 5.3 show that this long-term average underperformance of partisan firms only realizes once firms actually start showing a deviation from a neutral stance.

Table IA-12: Partisanship Panel Specification

This table shows regression estimates of monthly returns on a dummy variable indicating the period after the initial deviation from neutrality. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes, month fixed effects, and firm fixed effects. The t-statistics shown in parentheses are calculated using standard errors clustered at the firm and year level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Post	-0.23*
	(-1.85)
Controls	Yes
Month FE	Yes
Industry FE	Yes
Firm FE	Yes
Observations	607,639
Adjusted R^2	0.17

Table IA-13: Full Sample Portfolio Sorting

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship aggregated over the full sample period. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R_f (%)	1.49***	1.24***	1.24***	-0.24**
	(4.64)	(4.60)	(4.41)	(-2.38)
α_{FF6}	0.80***	0.46***	0.44***	-0.36***
	(6.38)	(7.11)	(5.86)	(-3.44)

VI. Investor Demand Statistics

This section provides descriptive statistics that complement the demand-system estimation introduced in Section 5.1. The statistics serve to characterize the investor-level input data used in the estimation and summarize the resulting distribution of estimated demand for political leaning.

Table IA-14 presents summary statistics on the institutional investor sample drawn from FactSet portfolio holdings, covering the period from 1999 to 2022.

Table IA-14: Investor Characteristics
This table shows summary statistics on portfolio holdings of institutional investors. The provided statistics are computed each quarter across the different types of investors and then averaged over time. I report the number of individual investors (N), assets under management in USD Mill (AUM), and the total market share (AUM Share).

Type	N	AUM	AUM Share
Large-Passive IA	12	3,014,198.46	0.20
Small-Passive IA	811	2,106,887.54	0.14
Small-Active IA	838	1,862,603.51	0.13
Large-Active IA	13	1,659,562.80	0.11
Hedge Funds	436	435,805.52	0.03
Long-Term	74	458,877.17	0.03
Private Banking	562	449,382.42	0.03
Brokers	43	172,241.19	0.01
Public Funds	8	109,633.98	0.01
Residual Sector	1	4,322,524.96	0.31

Table IA-15 reports summary statistics on the estimated demand for political leaning across different investor types. While the average leaning across investor types is often close to neutral, a clear pattern emerges when examining the dispersion measures. Investor types typically associated with more active or discretionary investment strategies, such as hedge funds, private banking, broker, and (per definition) active investment advisors, exhibit considerably greater heterogeneity in their estimated ideological preferences. This is evident in both the standard deviation and the range between the 25th (5th) and 75th (95th) percentiles. These findings align with the notion that more active investors are more likely to express ideological preferences through their portfolio choices, contributing to the observed pricing effects of political partisanship.

Table IA-15: Summary Statistics on Demand for Political Leaning
This table shows summary statistics for the estimated demand for a certain political leaning across the different types of institutional investors. I report mean, standard deviation (Std), 5th percentile (P5), 25th percentile (P25), median, 75th percentile (P75), and 95th percentile (P95) of the estimated coefficient on firm-level political leaning.

Type	Mean	Std	P5	P25	Median	P75	P95
Large-Passive IA	0.03	0.07	-0.08	0.00	0.03	0.07	0.13
Small-Passive IA	0.05	0.13	-0.15	-0.03	0.04	0.12	0.27
Small-Active IA	0.03	0.22	-0.30	-0.10	0.03	0.15	0.36
Large-Active IA	-0.03	0.15	-0.29	-0.11	-0.02	0.06	0.18
Hedge Funds	-0.04	0.17	-0.32	-0.13	-0.03	0.06	0.21
Long-Term	0.04	0.08	-0.07	-0.01	0.03	0.07	0.19
Private Banking	0.05	0.17	-0.22	-0.05	0.05	0.15	0.34
Brokers	-0.02	0.21	-0.29	-0.09	-0.02	0.05	0.21
Public Funds	-0.00	0.08	-0.18	-0.02	0.02	0.03	0.09
Residual Sector	0.06	0.06	-0.03	0.03	0.06	0.10	0.15

VII. Colophon

To generate this project's results, I use `R` (R Core Team, 2023). I report the packages with their package version in Table IA-16.

Table IA-16: Colophon

This table shows the R packages and their respective versions used throughout the project.

Package	Version	Citation
arrow	21.0.0	Richardson et al. (2025)
base	4.5.1	R Core Team (2023)
broom	1.0.9	Robinson et al. (2024)
datasets	4.5.1	R Core Team (2023)
dbplyr	2.5.0	Wickham et al. (2023b)
dplyr	1.1.4	Wickham et al. (2023a)
frenchdata	0.2.0	Areal (2021)
googledrive	2.1.1	D'Agostino McGowan and Bryan (2023)
googleway	2.7.8	Cooley (2023)
graphics	4.5.1	R Core Team (2023)
grDevices	4.5.1	R Core Team (2023)
janitor	2.2.1	Firke (2023)
jsonlite	2.0.0	Ooms (2014)
lfe	3.1.1	Gaure (2013)
lmtest	0.9-40	Zeileis and Hothorn (2002)
lubridate	1.9.4	Grolemund and Wickham (2011)
methods	4.5.1	R Core Team (2023)
plm	2.6-6	Croissant and Millo (2018)
RcppRoll	0.3.1	Ushey (2018)
readr	2.1.5	Wickham et al. (2024a)
readxl	1.4.5	Wickham and Bryan (2023)
reldist	1.7-2	Handcock (2023)
renv	1.1.5	Ushey and Wickham (2023)
rjson	0.2.23	Couture-Beil (2024)
RPostgres	1.4.8	Wickham et al. (2023c)
RSQLite	2.4.2	Müller et al. (2024)
sandwich	3.1-1	Zeileis et al. (2020)
slider	0.3.2	Vaughan (2023)
stargazer	5.2.3	Hlavac (2022)
stats	4.5.1	R Core Team (2023)
tidyquant	1.0.11	Dancho and Vaughan (2023)
tidyr	1.3.1	Wickham et al. (2024b)
tidyverse	2.0.0	Wickham et al. (2019)
utils	4.5.1	R Core Team (2023)
xtable	1.8-4	Dahl et al. (2019)

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